Kerrowan Marine Systems plc

Annual Report and Accounts 2025

Kerrowan Marine Systems plc designs and builds ocean monitoring instruments, underwater sonar and harbour software for port authorities, offshore energy operators and research institutes. This report covers the financial year ended 31 December 2025 and was approved by the Board on 19 March 2026.

The company's registered office is at 4 Quayside Road, Port Lennox, Scotland. Throughout this report, references to the company, the Group, Kerrowan or we mean Kerrowan Marine Systems plc and its subsidiaries. All amounts are in pounds sterling unless stated otherwise, and m means millions.

Contents

Section	Page
Chair's letter	2
Chief Executive's review	3
Highlights of the year	4
Our company and history	5
Strategy: Course 2028	6
Tidewatch ocean buoys	7
Kestrel sonar and Harbourline software	8
Markets and customers	9
Operations and sites	10
Supply chain	11
Research and development	12
People and culture	13
Sustainability	14
Health and safety	15
Financial review: revenue	16
Financial review: segments and profit	17
Cash flow and balance sheet	18
Principal risks	19
Board of directors	20
Directors' remuneration	21
Corrections and subsequent events	22
Outlook for 2026	23
Five-year summary	24
Shareholder information and glossary	25

Cautionary statement: this report contains forward-looking statements about plans, targets and expectations. They involve risks and uncertainties, and actual results may differ materially from those expressed or implied.

This document is the Group's single annual report for 2025. It combines the strategic report, the governance report and a summary of the financial statements. The full audited financial statements, including the notes, are published separately on the company's website and are available in print from the company secretary on request.

Readers new to Kerrowan may find it helpful to start with the Highlights of the year on page 4, which give the main figures in one table, and with the Chief Executive's review on page 3. Specialist terms used throughout the report are explained in the glossary on page 25.

Chair's letter

Dear shareholder, 2025 was the year in which Kerrowan stopped being a promising mid-sized instrument maker and started to look like the leader in its niche. Our people delivered record revenue, a meaningfully higher margin and a full product launch, all while the business absorbed a change of Chief Financial Officer and the opening of a new site in the Netherlands.

I want to begin by thanking Graham Leckie, who retired as Chief Financial Officer in January 2025 after eleven years with the company. Graham steered Kerrowan through its move to the main market and through the difficult supply years of 2021 and 2022. He was succeeded by Priya Raman, who joined us in February 2025 from a listed engineering group and has already sharpened the way we allocate capital.

The Board met eleven times during the year, including two full-day sessions on strategy. Most of that strategic work went into Course 2028, the plan described on page 6, which the Board approved in October 2025. We spent time in particular on the balance between growing the software business and protecting the cash generation of our established buoy and sonar products.

Shareholders will have seen that the Board is recommending a final dividend that brings the total for the year to 11.4 pence per share, compared with 9.8 pence for 2024. This reflects our confidence in the cash flow of the business while keeping enough headroom for acquisitions such as the one completed after the year end.

Governance remained a priority. During the year we carried out an external review of Board effectiveness, led by an independent adviser, which concluded that the Board works well but should spend more time on technology risk. In response, the Audit and Risk Committee now receives a cyber security report at every meeting rather than twice a year.

Finally, I would like to thank our customers, many of whom have relied on Kerrowan instruments in difficult waters for more than two decades, and every one of our colleagues. Their work is what turns a plan into results.

Margaret Oduya, Chair, 19 March 2026

The Board also spent time this year on succession. We agreed a clear plan for the roles of Chief Executive and Chief Financial Officer and for each Board committee, and we have identified internal candidates for most senior executive positions. The arrival of Priya Raman shows that we can also attract strong external talent when the business needs it.

In the year ahead, the Board's attention will turn to the integration of Brightwater Acoustics, the first acquisition outside Europe in Kerrowan's history, and to making sure that the business grows its software activities without losing the engineering culture that made its instruments trusted. I look forward to meeting many of you at the annual general meeting in Port Lennox.

Chief Executive's review

When I became Chief Executive in April 2021, I said that Kerrowan's next chapter would be about turning excellent instruments into complete monitoring systems. In 2025 that idea became visible in our numbers. Group revenue rose to £184.6m, and for the first time more than one in seven pounds of revenue came from customers who buy hardware and Harbourline software together.

Three things stood out for me. The first was the launch of the Tidewatch T5 in September 2025, our first buoy designed from the start to stream data directly into Harbourline. Early demand was strong, and we shipped 310 units in the last four months of the year. The second was the opening of our Rotterdam service centre in June 2025, which put engineers within a day's travel of most of our European customers and cut average repair turnaround for European customers from 19 days to 8 days.

The third was less visible but just as important: the steady improvement in our operating margin. Better pricing on the storm-rated Tidewatch T3-S, a richer mix of software and lower freight costs together lifted the Group operating margin by one and a half percentage points. That improvement came without cutting research spending, which grew faster than revenue.

Not everything went to plan. A firmware fault in the first batch of Kestrel 400X sonar units shipped in March forced us to recall 37 units for an on-site update, and the episode cost us roughly £0.6m and some goodwill with two survey customers. We have since added an extra stage of field testing before any new firmware is released, and the fault has not recurred.

Looking ahead, our priority is to execute Course 2028 with discipline. The acquisition of Brightwater Acoustics in February 2026, described on page 22, adds acoustic modems to our range and a strong engineering team in Canada. I am grateful to everyone at Kerrowan for a year of real progress.

Daniel Achterberg, Chief Executive

Our customers' needs continue to move in the direction we expected. Port authorities face larger ships, tighter budgets and more frequent storms, and they want to know about problems in a channel before a vessel arrives rather than after. Offshore wind operators want fewer people at sea and more information from remote instruments. Both trends favour connected systems over stand-alone products.

We also made progress inside the company. We simplified our sales organisation into three regional teams, introduced a single customer record across hardware and software sales, and moved the finance, purchasing and service teams onto one business system. These changes are not glamorous, but they make it easier for customers to deal with us and easier for us to grow without adding as many people as before.

Highlights of the year

The table below summarises the Group's key financial and operating measures for 2025, with 2024 for comparison. Definitions of the alternative performance measures are given in the glossary on page 25.

Measure	2025	2024
Revenue	£184.6m	£162.3m
Revenue growth	13.7%	10.4%
Operating profit	£27.1m	£21.4m
Operating margin	14.7%	13.2%
Profit after tax	£19.8m	£15.6m
Basic earnings per share	32.6p	25.9p
Total dividend per share	11.4p	9.8p
Free cash flow	£21.7m	£16.0m
Net cash at year end	£38.5m	£29.1m
Order backlog at year end	£97.3m	£81.0m
Research and development spend	£16.2m	£13.5m
Harbourline port customers	212	168

Operational highlights

Tidewatch T5 launched in September 2025, with 310 units shipped by the end of December. The Rotterdam service centre opened in June 2025 and handled more than 1,100 service visits in its first six months.

Harbourline annual recurring revenue reached £22.8m at the end of the year. Scope 1 and 2 greenhouse gas emissions fell by 13.2% compared with 2024, and the lost time injury frequency rate improved to 0.42.

The Board approved Course 2028, the Group's strategy to 2028, in October 2025. Its headline targets are revenue of £260m and an operating margin of 17% in 2028.

The alternative performance measures used in this report, such as free cash flow, order backlog and operating margin, are not defined by accounting standards. The Board uses them because they help explain the underlying performance of the business, and the way each one is calculated has not changed since last year.

All comparisons in this report are with the financial year ended 31 December 2024 unless stated otherwise. Percentages are calculated from unrounded figures, so small differences may appear when figures in the tables are added together or compared.

Taken together, the measures show a business that grew faster than in the previous year, became more profitable and converted a larger share of its profit into cash. The improvement in the order backlog also gives the Board good visibility of revenue for the first half of 2026.

Our company and history

Kerrowan Marine Systems was founded in 1994 by the oceanographer Isla Kerrowan and the electronics engineer Tomas Ferreira, who met while working on a university wave-measurement project. Their first workshop was a rented boat shed on the harbour at Port Lennox, a few hundred metres from today's headquarters.

The company's first commercial product, the Tidewatch T1 buoy, went on sale in 1997. It measured wave height, water temperature and current speed and reported by radio to a shore station. Port authorities in Scotland and Norway were the first customers, and that focus on ports has shaped the company ever since.

Growth in the late 1990s led to the opening of the Port Lennox factory in 1998. The company then spent several years building a reputation for buoys that survive the North Atlantic. In 2006 Kerrowan listed its shares on the main market of the London Stock Exchange, raising funds to expand internationally.

In 2012 Kerrowan bought Sondera Acoustics, a small sonar specialist based in Bergen, Norway. Sondera's side-scan sonar technology became the foundation of the Kestrel product line, which now accounts for roughly a third of Group revenue.

Software followed hardware. Harbourline, a cloud platform that brings together data from buoys, sonar and vessel traffic systems, was launched in 2018. It was first offered free to existing buoy customers and moved to a paid subscription model in 2020.

In 2019 the company acquired a second factory, at Port Lenham in Cornwall, England, from a defence electronics supplier that was leaving the area. Port Lenham now assembles most of the Kestrel sonar range, while Port Lennox makes buoys. The similar names of the two sites are a coincidence that our logistics team has learned to live with.

Today Kerrowan sells to customers in 41 countries. Isla Kerrowan retired from the Board in 2016 but remains the company's honorary president, and still visits the Port Lennox workshop most weeks.

The company's culture still reflects its origins in a small harbour workshop. Engineers are expected to spend time at sea with the instruments they design, and new employees in the factories spend their first week with the service team so that they understand how the products are used. Many long-serving staff joined as apprentices and now lead teams of their own.

Over three decades, Kerrowan instruments have recorded some of the largest waves measured around the British Isles and have supported the safe construction of several of the largest offshore wind farms in Europe. Data from Tidewatch buoys is also shared, with customers' permission, with public weather and ocean forecasting services.

The Group's purpose, agreed by the Board in 2022, is to make the world's waters safer and better understood. It is printed on the wall of every Kerrowan site and is the first slide in every induction course.

Strategy: Course 2028

Course 2028 is the Group's strategy for the four years from 2025 to 2028. It was developed by the executive team over the summer of 2025 and approved by the Board in October 2025. It replaces the earlier plan, Horizon 2025, whose revenue target of £175m was exceeded a year early.

The strategy has a simple premise: customers increasingly want answers rather than instruments. A harbour master wants to know whether a channel is safe for a deep-draught vessel, not to read raw sonar files. Kerrowan is therefore building complete monitoring systems in which its hardware feeds Harbourline, and Harbourline turns the data into decisions.

The four pillars

Pillar one, Connected hardware, means that every new Kerrowan instrument will connect natively to Harbourline from 2026. Pillar two, Software growth, aims to double Harbourline annual recurring revenue between 2025 and 2028. Pillar three, Service close to the customer, extends the model of the Rotterdam service centre to North America and Asia. Pillar four, Responsible operations, commits the Group to net zero emissions from its own operations by 2032.

Targets for 2028

Target	2028 goal	2025 actual
Group revenue	£260m	£184.6m
Operating margin	17%	14.7%
Harbourline annual recurring revenue	£45m	£22.8m
Share of revenue from connected systems	40%	15%
Renewable electricity in own operations	100%	71%

The Board expects most of the growth to be organic, but Course 2028 allows for bolt-on acquisitions that add technology or customers. The Group has set itself a limit of net debt of no more than one times operating profit for any acquisition.

Progress against each target will be reported every year. The Remuneration Committee has linked part of the long-term incentive plan for executives to the revenue and margin targets, as described on page 21.

Course 2028 also sets out what Kerrowan will not do. The Group will not build its own vessels or offer survey services in competition with its customers, and it will not develop general-purpose software outside the maritime market. Keeping this focus is intended to protect relationships with survey companies and port operators, who are both customers and partners.

The executive team reviews progress against the four pillars every quarter. Each pillar has a named executive sponsor and a small set of measures, and the results are shared with all employees at quarterly briefings so that everyone can see how their work contributes to the plan.

Tidewatch ocean buoys

Tidewatch is the Group's largest product family and generated £96.4m of revenue in 2025. Tidewatch buoys measure waves, currents, water quality and weather, and are used to guide ships into port, to monitor offshore wind farms and to support coastal research.

The range

The Tidewatch T3 is the standard model for sheltered and coastal waters. It has a two-metre hull, a solar power system and a design life of 15 years, and its list price in 2025 was £18,500. The company shipped 2,140 Tidewatch T3 units in 2025, more than any other product.

The Tidewatch T3-S is the storm-rated version of the T3, built for exposed sites in the North Sea and the North Atlantic. It adds a reinforced hull, a heated sensor mast and a backup battery, and is certified to survive waves of up to 22 metres. Its list price in 2025 was £24,900, and 860 Tidewatch T3-S units were shipped during the year.

The Tidewatch T5, launched in September 2025, is the first buoy built around Harbourline. It sends data over satellite and mobile networks, updates its own software remotely and can run small analytics programs on board, which cuts the volume of data that has to be transmitted. A total of 310 Tidewatch T5 units were shipped in 2025.

Model	Main use	2025 list price	Units shipped 2025
Tidewatch T3	Coastal and sheltered waters	£18,500	2,140
Tidewatch T3-S	Exposed offshore sites	£24,900	860
Tidewatch T5	Connected systems	£29,800	310

The older Tidewatch T2 was withdrawn from sale at the end of 2024, although the company will continue to supply spare parts until 2030. Buoy pricing rose by an average of 4% in 2025, mainly to pass on higher steel and battery costs.

Customers can buy Tidewatch buoys outright or, since 2024, through a monitoring-as-a-service contract in which Kerrowan owns and maintains the buoy and the customer pays an annual fee for the data. Service contracts of this kind accounted for a small but growing share of Tidewatch revenue in 2025 and are particularly popular with research institutes that have limited capital budgets.

Every Tidewatch buoy carries a unique identifier and a full service history in Harbourline, so customers and service engineers can see when each sensor was last calibrated and when the next maintenance visit is due. Calibration intervals vary by sensor, from six months for water quality probes to two years for wave sensors.

Kestrel sonar and Harbourline software

Kestrel sonar

The Kestrel range of side-scan sonar systems maps the seabed and finds obstacles in shipping channels, around offshore structures and on survey routes for subsea cables. Kestrel generated £61.3m of revenue in 2025 and is assembled at the Port Lenham factory.

The Kestrel 400 is the core model. It has a maximum working range of 400 metres on each side of the towfish and is used mainly by ports and dredging contractors. The company shipped 1,020 Kestrel 400 units in 2025.

The Kestrel 400X is the extended-range version, with a maximum working range of 650 metres per side and a pressure rating for depths of up to 2,000 metres. It is aimed at offshore energy and cable survey customers. Shipments of the Kestrel 400X reached 445 units in 2025, despite the firmware recall in March.

Harbourline software

Harbourline is a cloud platform that combines data from Kerrowan instruments, third-party sensors and vessel traffic systems into a single live view of a port or offshore site. Customers pay an annual subscription based on the number of connected assets.

Harbourline generated £26.9m of revenue in 2025, of which £22.8m was recurring subscription revenue. The number of port customers using Harbourline rose to 212 at the end of 2025, from 168 a year earlier. Customer retention measured by revenue was 108%, meaning that existing customers increased their spending on the platform by more than was lost through cancellations.

The most popular new module in 2025 was Channel Depth Assurance, which compares the latest Kestrel survey with the depth a vessel needs and warns the harbour master when the safety margin becomes too small. Eighty-three ports had subscribed to it by the end of the year.

Harbourline is hosted in two European data centres. In 2025 the platform achieved availability of 99.96%, slightly above the contractual commitment of 99.9%.

Kestrel systems are sold with a standard two-year warranty, which can be extended to five years as part of a service contract. Most offshore energy customers choose the extended warranty because a fault discovered offshore can delay an entire survey campaign.

Harbourline is sold in three editions. Harbourline Essentials provides live data and alerts, Harbourline Professional adds historical analysis and reporting, and Harbourline Enterprise adds integration with a customer's own systems and dedicated support. Most new customers start on Essentials and upgrade within two years, which is one reason why existing customers increase their spending over time.

Markets and customers

Kerrowan serves three main customer groups: port and harbour authorities, offshore energy operators including wind farm owners, and research and government institutes. Ports remain the largest group and accounted for 47% of Group revenue in 2025, followed by offshore energy at 34% and research and government at 19%.

Revenue by region

Region	Share of 2025 revenue
United Kingdom	22%
Rest of Europe	39%
North America	21%
Asia-Pacific	14%
Rest of world	4%

Europe outside the United Kingdom remained the largest region, helped by the Rotterdam service centre and by offshore wind projects in the Netherlands, Germany and Denmark. North America grew fastest, with revenue up 24%, as several United States ports modernised their channel monitoring.

Largest customers

The Group's largest single customer in 2025 was the Nordhavn Port Authority in Denmark, which accounted for 9% of Group revenue. Nordhavn uses Tidewatch buoys, Kestrel sonar and Harbourline across its entire harbour estate under a seven-year contract signed in 2023. No other customer accounted for more than 5% of revenue.

The ten largest customers together represented 31% of revenue, compared with 34% in 2024. The Board monitors this concentration as one of the principal risks described on page 19.

Order backlog

The order backlog at 31 December 2025 was £97.3m, up from £81.0m a year earlier. Around two thirds of the backlog is expected to be delivered in 2026, with the remainder relating to multi-year Harbourline contracts and a large Kestrel order for a cable survey programme in the Baltic Sea.

Competition varies by market. In buoys, Kerrowan competes with two larger diversified instrument groups and with several smaller national suppliers. In sonar, its competitors are mainly specialist acoustic companies in Norway, Germany and the United States. Harbourline competes both with software from other instrument makers and with in-house systems built by large ports.

Public funding for coastal resilience and offshore wind continued to support demand in 2025. In Europe, several national programmes now require ports to monitor channel depths more frequently, and in North America federal infrastructure funding has helped ports to replace ageing equipment.

Operations and sites

Kerrowan manufactures in two factories in Great Britain and supports customers from service centres in Scotland and the Netherlands. The Group outsources the production of circuit boards and battery packs but carries out final assembly, calibration and testing itself.

Port Lennox, Scotland

The Port Lennox factory opened in 1998 and covers 21,000 square metres next to the Group's headquarters. It builds the entire Tidewatch range and houses the main calibration tank, a 40-metre basin in which every buoy is tested in simulated waves before it is shipped. In 2025 the factory added a second assembly line for the Tidewatch T5, which raised its annual buoy capacity from 3,000 to 4,200 units.

Port Lenham, England

The Port Lenham factory in Cornwall was acquired in 2019 and covers 9,500 square metres. It assembles the Kestrel sonar range and builds towfish bodies in its own composites workshop. Port Lenham worked a double shift for most of 2025 to meet Kestrel 400X demand, and a further £2.1m was invested in test equipment at the site.

Service centres

The original service centre at Port Lennox handles customers in the United Kingdom, Ireland and the Nordic countries. The Rotterdam service centre opened in June 2025 in a leased building in the city's port area and employs 34 engineers. It carried out more than 1,100 service visits in its first six months and stocks spare parts for every product sold in Europe.

Customers in North America and Asia are currently served through distributors and travelling engineers. Course 2028 plans a service centre in North America in 2026 and one in Asia by 2028.

Quality

Both factories are certified to ISO 9001. The share of instruments that needed a warranty repair within their first year fell to 1.8% in 2025, from 2.4% in 2024. The Kestrel 400X firmware recall described on page 3 was handled as a field update and is not included in this figure.

Investment in the factories continued during the year. Apart from the new Tidewatch T5 assembly line, the Group installed automated optical inspection for incoming circuit boards at Port Lennox and replaced the paint shop extraction system. Both projects were completed without interrupting production.

Production planning is now carried out centrally for both factories using a shared system, which allows engineers and parts to be moved between Port Lennox and Port Lenham at short notice. This flexibility proved useful in the autumn, when Port Lenham borrowed test technicians from Port Lennox to help with the Kestrel 400X order peak.

Supply chain

The Group buys components from around 640 suppliers in 23 countries. Spending on materials and components was £71.4m in 2025. Steel hulls, electronic assemblies and battery packs are the three largest categories and together make up just over half of that spending.

Battery packs

Lithium battery packs for Tidewatch buoys are supplied by Varentis Cells, a manufacturer based in Wroclaw, Poland. Varentis has supplied Kerrowan since 2017 and delivered around 3,400 packs in 2025. Because a single supplier creates a concentration risk, the Group qualified a second battery supplier in South Korea during 2025, and expects it to provide about a quarter of packs from 2026.

Electronic components

The shortage of semiconductors that disrupted production in 2021 and 2022 has now eased. The average lead time for the Group's critical microcontrollers fell from 26 weeks at the start of 2025 to 14 weeks at the end of the year. Kerrowan still holds a strategic stock of six months of critical chips, which tied up around £4.3m of working capital at the year end.

Freight and logistics

Freight costs fell by 11% in 2025 as container rates normalised and more European deliveries were handled from Rotterdam. The Group moved its outbound logistics for Kestrel sonar from air freight to road and sea wherever delivery dates allowed, which also reduced emissions from transport.

Responsible sourcing

All new suppliers must sign the Kerrowan Supplier Code, which covers labour standards, anti-bribery and environmental management. In 2025 the Group carried out 48 supplier audits, 9 of them unannounced. Two suppliers were asked to put corrective action plans in place, mainly concerning working hours, and both completed them by the end of the year. No supplier relationship was terminated for ethical reasons.

Conflict minerals are checked through an annual survey of electronic component suppliers. In 2025, 96% of relevant suppliers returned the survey, up from 89% in 2024.

The Group's purchasing team was reorganised in 2025 into category teams, each responsible for a group of components across both factories. This has made it easier to negotiate volume prices and to spot early signs of shortages. Long-term agreements with fixed prices for at least twelve months now cover most steel and aluminium purchases.

The Group also began asking its largest suppliers for data on the emissions associated with the products they supply, so that it can improve the accuracy of its Scope 3 estimate. About a third of suppliers by spending provided this data in 2025, and the Group expects the share to rise as reporting requirements tighten across Europe.

Research and development

Research and development spending rose to £16.2m in 2025, equal to 8.8% of revenue, from £13.5m in 2024. Of this, £3.9m was capitalised as development costs, mainly for the Tidewatch T5 and for new Harbourline modules, and the remainder was expensed.

The Group employed 186 engineers in research and development at the end of 2025, led by Chief Technology Officer Sofia Lindqvist. Engineering teams are based at Port Lennox, Port Lenham and in a small software studio in Edinburgh that opened in 2023 and now has 27 developers.

Main projects in 2025

The largest project of the year was completing the Tidewatch T5. Its on-board analytics allow the buoy to detect events such as a sudden rise in wave height and send only a summary, which reduced satellite data costs for pilot customers by about 60%.

The second major project was Kestrel Deep, a future version of the sonar for depths beyond 2,000 metres, which is due to reach field trials in 2026. Work also continued on automatic object recognition in sonar images, which in internal tests correctly identified 91% of obstacles larger than one metre.

For Harbourline, the team released Channel Depth Assurance and a new forecasting module that predicts wave conditions in a harbour mouth up to 48 hours ahead by combining Tidewatch measurements with public weather models.

Patents and partnerships

Kerrowan was granted 14 new patents in 2025, bringing the total portfolio to 97 granted patents. Most of the new patents relate to buoy power management and sonar signal processing.

The Group works with three universities. The longest-standing partnership is with the University of Port Lennox, which co-funds two doctoral researchers a year in ocean sensing. In 2025 the Group also joined a European research consortium on autonomous survey vessels, which is expected to run until 2028.

Engineering work is organised into product teams that combine hardware, firmware and software engineers, rather than into separate departments. Each team owns a product from the first design to the end of its life, including fixing faults reported by customers. The Group believes this structure is one reason why new products reach the market faster than they did five years ago.

The Group protects its technology through a combination of patents, trade secrets and careful control of source code. Firmware for all connected products is signed digitally, so that instruments accept only software released by Kerrowan.

People and culture

At 31 December 2025 the Group employed 1,240 people, according to the preliminary count used for this section. The workforce grew mainly in the Rotterdam service centre, in research and development and at the Port Lenham factory.

Area	Employees at year end
Manufacturing and quality	512
Research and development	186
Service and field engineering	214
Sales and marketing	153
Software operations and support	71
Central functions	104

Voluntary staff turnover was 8.7% in 2025, down from 10.1% in 2024. The annual employee survey had a response rate of 84%, and 79% of respondents said they would recommend Kerrowan as a place to work, up four points on the previous year.

Diversity

Women held 38% of leadership roles at the end of 2025, defined as the executive team and their direct reports, compared with 33% in 2024. Across the whole workforce, 29% of employees were women. The median gender pay gap in the United Kingdom was 11.2%, and the Group's target is to bring it below 8% by 2028.

Skills and training

The Group spent an average of 31 hours on training per employee in 2025. The Kerrowan Apprenticeship programme took on 22 new apprentices at Port Lennox and Port Lenham, and 94% of apprentices who completed the programme since 2015 are still with the company.

All employees in the United Kingdom are paid at least the real Living Wage, and the Group has been an accredited Living Wage employer since 2019.

Share ownership

The all-employee share plan was offered for the fourth time in 2025, and 61% of eligible employees now own Kerrowan shares through the plan.

The Group introduced a hybrid working policy in 2023 for roles that do not need to be on site. Most software and central function employees now work from the office two or three days a week, while factory and field service roles remain on site. The policy was reviewed in 2025 and kept unchanged after positive feedback in the employee survey.

Recruitment remained competitive, particularly for software engineers and experienced field service technicians. The average time to fill an engineering vacancy fell slightly during the year, helped by a new referral scheme that pays employees a bonus when someone they recommend completes their first six months with the company.

Sustainability

Kerrowan's products help customers protect coastlines, run offshore wind farms safely and understand a changing ocean. The Group also aims to reduce the environmental impact of its own operations and of the products it sells.

Greenhouse gas emissions

Emissions (tonnes CO2e)	2025	2024	Change
Scope 1 (fuel and company vehicles)	1,930	2,180	-11.5%
Scope 2 (purchased electricity, market-based)	2,940	3,430	-14.3%
Total Scope 1 and 2	4,870	5,610	-13.2%
Scope 3 (estimated)	61,200	58,900	+3.9%

Total Scope 1 and 2 emissions fell by 13.2% to 4,870 tonnes of carbon dioxide equivalent. The main reasons were a larger share of renewable electricity and the replacement of 18 diesel service vans with electric vehicles. Scope 3 emissions, most of which come from purchased materials and from customers' use of the products, rose with higher sales volumes.

Energy

Renewable sources supplied 71% of the electricity used in the Group's own operations in 2025, up from 58% in 2024. A 1.2 megawatt solar installation on the roof of the Port Lennox factory was completed in August 2025 and is expected to provide about a fifth of the site's electricity.

Targets

The Group has committed to net zero Scope 1 and 2 emissions from its own operations by 2032 and to 100% renewable electricity by 2028. It aims to reduce the intensity of its Scope 3 emissions per pound of revenue by 30% by 2030, compared with 2023.

Product stewardship

Tidewatch hulls are designed to be refurbished rather than scrapped. In 2025 the Group refurbished 214 returned buoy hulls and resold them under the Tidewatch Renewed label at a lower price. Sonar towfish are taken back at the end of their life for component recovery, and 87% of their weight was recycled in 2025.

Kerrowan reports in line with the recommendations of the Task Force on Climate-related Financial Disclosures. The Group's analysis of climate scenarios found that physical risks, such as more frequent storms, are manageable for its own sites, and that the transition to a low-carbon economy is mainly an opportunity because of demand from offshore wind and coastal protection projects.

The Group's emissions figures are prepared according to the Greenhouse Gas Protocol. Scope 1 and 2 figures for 2025 were reviewed by an independent assurance provider, which issued a limited assurance statement. Scope 3 figures are estimates based on spending and product data and have not been assured.

Health and safety

Kerrowan's engineers install and service instruments at sea, on offshore platforms and in busy ports, so safety is the first item on the agenda of every Board and executive meeting.

Performance

There were no fatalities in 2025. The lost time injury frequency rate, which counts injuries causing at least one lost working day per 200,000 hours worked, improved to 0.42 from 0.61 in 2024. There were five lost time injuries during the year, compared with seven in 2024, and none of them was classed as serious.

Measure	2025	2024
Fatalities	0	0
Lost time injuries	5	7
Lost time injury frequency rate	0.42	0.61
Near misses reported	412	297
Hours of safety training	9,850	8,120

The number of near misses reported rose by 39%. Management sees this as a positive sign of a stronger reporting culture after the launch of a simple reporting app for field engineers in February 2025.

Working at sea

Offshore work carries the highest risks. In 2025 all field engineers completed renewed sea survival training, and the Group introduced a rule that no buoy may be deployed or recovered from a vessel when waves exceed 2.5 metres, unless the vessel has a dedicated launch and recovery system.

Manufacturing

At Port Lenham, the composites workshop was fitted with a new extraction system to reduce exposure to resin fumes. At Port Lennox, the calibration tank area was redesigned so that people and lifting equipment use separate routes.

Both factories hold ISO 45001 certification for occupational health and safety management. The Rotterdam service centre is preparing for certification, which it expects to achieve in 2026.

Contractors working on Kerrowan sites or on vessels chartered by the Group are covered by the same safety rules as employees, and their hours and injuries are included in the figures above. Every contractor must complete a site induction before starting work.

Mental health is part of the Group's approach to safety. All employees have access to a confidential support service, and 64 managers have been trained as mental health first aiders. Field engineers who spend long periods away from home are offered regular check-ins with their managers and flexible rosters where possible.

Financial review: revenue

This review was prepared by Priya Raman, Chief Financial Officer. Group revenue for 2025 was £184.6m, an increase of 13.7% on the £162.3m reported for 2024. At constant exchange rates, growth would have been 14.9%, because the pound strengthened against the euro and the US dollar during the year.

Revenue by quarter

Quarter	2025 revenue	2024 revenue	Growth
First quarter (Q1)	£41.2m	£37.5m	9.9%
Second quarter (Q2)	£44.9m	£39.8m	12.8%
Third quarter (Q3)	£46.3m	£41.6m	11.3%
Fourth quarter (Q4)	£52.2m	£43.4m	20.3%
Full year	£184.6m	£162.3m	13.7%

Growth accelerated through the year. The fourth quarter was the strongest in the company's history, with revenue of £52.2m, helped by the first full quarter of Tidewatch T5 shipments and by year-end deliveries of Kestrel 400X systems to offshore wind customers. The first quarter was the weakest, partly because Kestrel 400X shipments were paused during the firmware recall in March.

Revenue by type

Sales of hardware, meaning buoys, sonar systems and spare parts, generated £146.2m, or 79% of revenue. Recurring revenue from Harbourline subscriptions and service contracts reached £38.4m, or 21% of revenue, compared with 18% in 2024. Recurring revenue is valuable because it is predictable and carries higher margins.

Pricing and volume

Of the £22.3m increase in revenue, the Group estimates that about £7.1m came from higher prices and about £15.2m from higher volumes and a better product mix. Price increases were concentrated on the Tidewatch range, where list prices rose by an average of 4%.

Revenue is recognised when control of the goods passes to the customer, which for most hardware is on delivery, and over the period of the contract for subscriptions and service agreements. Large Kestrel systems that include installation are recognised when the system is accepted by the customer.

Seasonality affects the Group's revenue, because offshore installation and survey work is concentrated in the summer months and many customers place orders before the end of their own financial year in December. As a result, the second half of the year is usually stronger than the first, a pattern that was again clear in 2025.

Financial review: segments and profit

The Group reports three operating segments: Tidewatch buoys, Kestrel sonar and Harbourline software. Segment operating profit is stated before central costs, which are allocated to the segments in proportion to revenue.

Segment	2025 revenue	Operating margin	Operating profit
Tidewatch buoys	£96.4m	15.0%	£14.5m
Kestrel sonar	£61.3m	13.0%	£8.0m
Harbourline software	£26.9m	17.4%	£4.7m
Group	£184.6m	14.7%	£27.1m

Tidewatch buoys remained the largest segment. Its margin improved from 13.9% to 15.0%, helped by pricing on the T3-S and by efficiency gains on the new T5 line. Kestrel sonar's margin of 13.0% was held back by the cost of the firmware recall and by overtime at Port Lenham, but still improved slightly from 12.6% in 2024.

Harbourline software had the highest margin of the three segments at 17.4%, up from 12.8% a year earlier, as subscription revenue grew faster than the cost of running the platform. The Board expects the Harbourline margin to keep rising as the customer base grows.

From operating profit to earnings

Group operating profit was £27.1m, giving an operating margin of 14.7%, compared with £21.4m and 13.2% in 2024. Net finance income was £0.8m, reflecting interest earned on cash balances. The effective tax rate was 29.1%, and profit after tax was £19.8m, up from £15.6m.

Basic earnings per share rose by 26% to 32.6 pence, based on an average of 60.7 million shares in issue. Adjusted earnings per share, which excludes the amortisation of acquired intangible assets, was 34.1 pence.

Dividend

The Board recommends a final dividend of 7.6 pence per share. Together with the interim dividend of 3.8 pence paid in October 2025, this gives a total dividend for the year of 11.4 pence per share, an increase of 16% on 2024. Dividend cover, based on basic earnings per share, was 2.9 times.

Central costs, which include the Board, group finance, legal and information technology, were £9.6m in 2025, compared with £8.8m in 2024. They are allocated to the three segments in proportion to revenue, so that segment margins reflect the full cost of running the Group.

Amortisation of acquired intangible assets, which arises from past acquisitions, was £1.2m in 2025 and is included in operating profit. It is excluded from adjusted earnings per share because it does not reflect the performance of the business during the year.

Cash flow and balance sheet

The Group generated cash from operations of £42.9m in 2025, a cash conversion of 158% of operating profit. Capital expenditure was £14.9m, the largest amount in the company's history. It included £3.9m of capitalised development costs and £6.3m spent on the new Tidewatch T5 line at Port Lennox.

Cash flow (£m)	2025	2024
Cash generated from operations	42.9	33.2
Tax paid	(7.1)	(5.6)
Net interest received	0.8	0.3
Capital expenditure	(14.9)	(11.9)
Free cash flow	21.7	16.0
Dividends paid	(6.4)	(5.5)
Other movements	(5.9)	(2.3)
Increase in net cash	9.4	8.2

Free cash flow, defined in the glossary on page 25, was £21.7m, compared with £16.0m in 2024. After dividends paid of £6.4m and other movements, net cash rose by £9.4m to £38.5m at 31 December 2025.

Working capital

Inventory rose to £33.8m from £30.5m, mainly because of the strategic stock of semiconductors and the parts needed to launch the Tidewatch T5. Trade receivables were £36.2m, and the average time taken by customers to pay fell from 58 days to 54 days.

Balance sheet

Net assets at the year end were £171.6m, up from £155.9m. The Group had no borrowings at 31 December 2025. It has an undrawn revolving credit facility of £50m with two banks, which runs until 2029 and was not used during the year.

Goodwill and acquired intangible assets of £24.8m relate mainly to the acquisitions of Sondera Acoustics in 2012 and of the Port Lenham business in 2019. The annual impairment review found no impairment.

The Group's defined benefit pension scheme has been closed to new members since 2008. It showed a small surplus of £1.2m on the accounting basis at the year end.

The Group's approach to capital allocation is unchanged. Its first priority is investment in the existing business, followed by a progressive dividend and then by acquisitions that support Course 2028. If cash builds up beyond the Group's needs, the Board will consider returning it to shareholders.

The Group's cash is held with banks that have strong credit ratings and is spread across several institutions. Most cash is held in sterling, with smaller balances in euros and US dollars to meet operating needs in those currencies.

Principal risks

The Board is responsible for the Group's risk management and reviews the principal risks twice a year. The Audit and Risk Committee oversees the detailed work. The table below lists the risks that the Board considers most significant, with the direction of change during 2025.

Risk	Description	Change in 2025
Cyber security	Attack on Harbourline or internal systems	Increased
Supply chain	Dependence on key suppliers and components	Decreased
Customer concentration	Reliance on a small number of large customers	Stable
Product quality	Faults in hardware or firmware	Increased
Talent	Recruiting and keeping skilled engineers	Stable
Foreign exchange	Effect of currency moves on sterling results	Stable

Cyber security

As more customers depend on Harbourline for live port operations, an attack on the platform could disrupt their work and damage trust in Kerrowan. The risk was rated as increased in 2025. The Group commissioned two independent penetration tests and runs a security operations centre around the clock through a specialist partner.

Supply chain

The risk was rated as decreased, because chip lead times have shortened and a second battery supplier has been qualified. The Group continues to depend on Varentis Cells for most battery packs in 2026.

Product quality

The Kestrel 400X firmware recall showed that a single fault can affect many customers at once now that instruments are connected and updated remotely. The risk was therefore rated as increased. The Group has added a field-testing stage before software releases and an option to roll back updates remotely.

Foreign exchange

About 78% of revenue is earned outside the United Kingdom, mostly in euros and US dollars, while most costs are in sterling. The Group hedges between 50% and 75% of expected foreign currency flows for the next twelve months. A ten per cent strengthening of sterling would reduce annual operating profit by about £3.5m before hedging.

Climate change is treated as a factor that affects several of these risks rather than as a separate principal risk.

Emerging risks are identified through a twice-yearly workshop with senior managers and through discussion at the Board. Risks considered in 2025 included new regulation of artificial intelligence in safety-related systems, the effect of possible trade tariffs on components imported from Asia, and the growing use of autonomous survey vessels by customers.

Each principal risk has an owner on the executive team, who reports on it to the Audit and Risk Committee at least once a year. The Board has set out how much risk it is willing to accept in each area, and is least willing to accept risks to safety and to the security of customer data.

Board of directors

The Board has eight directors: the Chair, two executive directors and five independent non-executive directors. The Chair was independent on appointment. Three of the eight directors are women.

Margaret Oduya, Chair. Appointed to the Board in 2018 and Chair since 2020. She was previously chief executive of a listed ports group and chairs the Nomination Committee.

Daniel Achterberg, Chief Executive. Appointed Chief Executive in April 2021. He joined Kerrowan in 2015 as head of the Kestrel business after a career in offshore engineering in the Netherlands and Norway.

Priya Raman, Chief Financial Officer. Appointed in February 2025. She was previously group finance director of a listed engineering company and is a chartered accountant.

Henrik Solberg, Senior Independent Director. Appointed in 2019. A former finance director in the shipping industry, he chairs the Audit and Risk Committee.

Aiyana Brooks, independent non-executive director. Appointed in 2021. She has held senior human resources roles in technology companies and chairs the Remuneration Committee.

Kwame Mensah, independent non-executive director. Appointed in 2022. He is a software entrepreneur who founded and sold a maritime data company, and he advises the Board on Harbourline.

Elena Vasquez, independent non-executive director. Appointed in 2023. An oceanographer and former director of a national marine research institute.

Robert Hale, independent non-executive director. Appointed in 2024. He spent his career in the offshore wind industry, most recently as chief operating officer of a wind farm developer.

Committees

Committee	Chair	Meetings in 2025
Audit and Risk Committee	Henrik Solberg	5
Remuneration Committee	Aiyana Brooks	4
Nomination Committee	Margaret Oduya	3

Sofia Lindqvist, Chief Technology Officer, attends Board meetings for technology items but is not a director.

All directors stand for re-election at each annual general meeting. Before recommending their re-election, the Nomination Committee reviews each director's performance, independence and the time they are able to commit to the company.

Non-executive directors meet without the executive directors present at least twice a year, and the Senior Independent Director leads an annual review of the Chair's performance. Directors also visit Kerrowan sites regularly, and in 2025 the Board held one of its meetings at the new Rotterdam service centre.

Directors' remuneration

This summary of the Directors' Remuneration Report was prepared by the Remuneration Committee, chaired by Aiyana Brooks. The full policy was approved by shareholders at the 2024 annual general meeting and runs for three years.

Executive director	Salary	Annual bonus	Long-term incentive	Total 2025	Total 2024
Daniel Achterberg (CEO)	£520k	£468k	£432k	£1.42m	£1.18m
Priya Raman (CFO, from February 2025)	£355k	£290k	nil	£0.65m	n/a

The Chief Executive's total remuneration for 2025 was £1.42m, compared with £1.18m in 2024. The increase reflects a higher annual bonus, which paid out at 90% of the maximum because revenue, operating profit and cash flow all exceeded their targets, and the vesting of the 2022 long-term incentive award.

Priya Raman's figures cover the eleven months from her appointment in February 2025. She received no long-term incentive vesting in 2025 because her first award was made on joining and will not vest until 2028.

Annual bonus measures

The 2025 annual bonus was based on operating profit (50%), revenue (20%), free cash flow (15%) and personal and safety objectives (15%). The operating profit target for full payout was £26.5m, which the Group exceeded.

Long-term incentives

From 2026, half of each long-term incentive award will depend on the Course 2028 revenue and margin targets, a quarter on total shareholder return compared with a group of engineering companies, and a quarter on emissions reduction and Harbourline growth.

Non-executive fees

The Chair receives an annual fee of £185,000. Non-executive directors receive a base fee of £58,000, with an additional £12,000 for chairing a committee or acting as Senior Independent Director. Fees were last increased in January 2024.

The ratio of the Chief Executive's total pay to the median pay of United Kingdom employees was 34 to 1 in 2025.

The Remuneration Committee also reviews pay and conditions across the wider workforce before setting executive pay. In 2025 the average salary increase for employees in the United Kingdom was 4.5%, compared with 4.0% for the Chief Executive.

Executive directors are required to build up a holding of Kerrowan shares equal to twice their salary within five years of appointment, and to keep it for two years after leaving the company. The Chief Executive already meets this requirement.

Corrections and subsequent events

This section updates figures that were finalised after other parts of this report were prepared. Where a figure here differs from one given earlier in the report or in earlier announcements, the figure in this section is the correct one.

Final employee number

The final employee count at 31 December 2025 was 1,262, not the preliminary figure of 1,240 used in the People and culture section on page 13. The difference arises because 22 contractors at the Rotterdam service centre became permanent employees with effect from 31 December 2025 and were registered after the preliminary count was taken.

Patents granted

One further patent, covering a method for de-icing buoy sensor masts, was granted on 30 December 2025 and confirmed in January 2026. The number of patents granted in 2025 was therefore 15 rather than 14, and the total portfolio at the year end was 98 granted patents.

Third quarter revenue

The interim trading statement published in October 2025 reported third quarter revenue of £45.8m. After the year-end audit, third quarter revenue was restated to £46.3m, because £0.5m of Harbourline subscription revenue had been recorded in the wrong period. Full-year revenue of £184.6m is unaffected, and the quarterly table on page 16 already shows the restated figure.

Acquisition of Brightwater Acoustics

On 12 February 2026 the Group acquired Brightwater Acoustics Inc., a maker of underwater acoustic modems based in Halifax, Nova Scotia, Canada, for a total cash consideration of £23.5m. Brightwater employs 58 people and had revenue of about £9.4m in its last financial year. The acquisition was paid for from existing cash and gives Kerrowan a base for the North American service centre planned under Course 2028.

Because the acquisition was completed after the balance sheet date, it is not reflected in the 2025 financial statements. Brightwater's employees are not included in the employee numbers above.

Other events

There were no other events after the balance sheet date that require disclosure.

The corrections set out in this section do not change the Group's reported revenue, profit, cash flow or net assets for 2025. They were reviewed by the Audit and Risk Committee and by the external auditor before the report was approved.

The costs of the Brightwater acquisition, mainly legal and advisory fees of about £0.4m, will be recognised in the 2026 financial statements. The Group expects to complete the integration of Brightwater's finance and reporting systems by the end of 2026.

Outlook for 2026

The Group entered 2026 with a record order backlog of £97.3m and good momentum in all three segments. The Board expects Group revenue for 2026 of between £200m and £210m, including about ten months of contribution from Brightwater Acoustics.

The Board expects the operating margin to improve further in 2026, towards 15.5%, as Harbourline continues to grow and the Tidewatch T5 line reaches full efficiency. This guidance assumes exchange rates similar to those at the start of the year.

Segment expectations

For Tidewatch buoys, the full-year effect of the T5 and steady demand from offshore wind farms are expected to support mid-single-digit growth. Demand for the T3 is expected to be flat as some customers move to the T5.

For Kestrel sonar, the order backlog includes the Baltic Sea cable survey programme, and the Group expects growth of around 10%, with Kestrel Deep entering field trials in the second half of the year.

For Harbourline software, the Group expects annual recurring revenue to rise by more than 25%, helped by the Channel Depth Assurance module and by customers who buy the T5.

Investment

Capital expenditure in 2026 is expected to be between £12m and £14m, lower than in 2025 now that the T5 line is complete. Research and development spending is expected to remain at around 9% of revenue.

Risks to the outlook

The main risks to this outlook are delays to large offshore wind projects, which could shift Kestrel and Tidewatch deliveries into 2027, and further strengthening of sterling. The Board will update the market in its first-half trading statement, planned for July 2026.

Overall, the Board is confident that the Group is on track to deliver the Course 2028 targets of £260m revenue and a 17% operating margin.

The Group's guidance for 2026 is based on the order backlog, on the pipeline of expected orders and on current market conditions. It does not include the effect of any further acquisitions. The Board will report progress against the guidance in its half-year results in September 2026.

Beyond 2026, the Board sees the greatest opportunity in bringing the three product lines closer together. The aim is that a customer who buys a Tidewatch buoy or a Kestrel sonar will see its data in Harbourline from the first day, and that every connected instrument will become a source of recurring revenue for the Group.

Five-year summary

The table below shows the Group's main financial figures for the last five years. Figures for 2021 to 2023 have not been restated for changes in accounting policy, which were not material.

£m unless stated	2021	2022	2023	2024	2025
Revenue	118.4	131.9	147.0	162.3	184.6
Operating profit	12.6	15.1	18.2	21.4	27.1
Operating margin	10.6%	11.4%	12.4%	13.2%	14.7%
Profit after tax	9.1	10.9	13.2	15.6	19.8
Basic EPS (pence)	15.2	18.1	21.9	25.9	32.6
Dividend per share (pence)	6.0	7.0	8.4	9.8	11.4
Net cash	12.4	14.6	20.9	29.1	38.5
R&D spend	9.0	10.6	12.1	13.5	16.2
Employees at year end	905	968	1,043	1,121	1,262

Over the five years, revenue grew at a compound annual rate of 11.7%, and operating profit more than doubled from £12.6m in 2021 to £27.1m in 2025. The operating margin has risen every year in the period.

The slowest year for revenue growth in the period was 2024, at 10.4%, when several large offshore wind projects were postponed. In 2022 the shortage of semiconductors delayed shipments of several hundred buoys into 2023, but revenue still grew by 11.4%.

Net cash has more than tripled since 2021 even though the Group paid dividends in every year and invested heavily in its factories. The dividend has nearly doubled over the same period, from 6.0 pence to 11.4 pence per share.

The employee figure for 2025 in this table is the final count of 1,262 described on page 22.

Earnings per share has more than doubled over the five-year period, rising faster than profit after tax because the number of shares in issue has remained broadly stable. The company has not issued new shares to raise capital since its move to the main market, apart from small issues under employee share plans.

Research and development spending has grown in every year of the period and has stayed at between 7.6% and 8.8% of revenue, reflecting the Board's view that continued investment in new products is essential to the Group's long-term success.

Shareholder information and glossary

Financial calendar

Event	Date
Annual general meeting, Port Lennox	7 May 2026
Ex-dividend date for final dividend	16 April 2026
Final dividend paid	22 May 2026
First-half trading statement	July 2026
Half-year results	September 2026

The annual general meeting will be held on 7 May 2026 at the Port Lennox Maritime Hall, starting at 11:00. Shareholders who cannot attend can vote online until 48 hours before the meeting.

Shareholder services

The company's shares are listed on the main market of the London Stock Exchange under the ticker KRWN. The share register is managed by a registrar, which shareholders should contact about dividends, changes of address and lost share certificates. The Group's auditor is Harcourt & Vale LLP, which has audited the accounts since 2017.

Glossary

Annual recurring revenue (ARR): the annualised value of Harbourline subscription contracts in force at the end of the period.

Cash conversion: cash generated from operations divided by operating profit.

Free cash flow: cash generated from operations, less tax paid and capital expenditure, plus net interest received, as shown in the table on page 18.

Lost time injury frequency rate (LTIFR): the number of injuries causing at least one lost working day, per 200,000 hours worked.

Operating margin: operating profit divided by revenue.

Order backlog: the value of signed customer orders that have not yet been delivered or invoiced.

Scope 1, 2 and 3 emissions: direct emissions from the Group's own fuel use, indirect emissions from purchased electricity, and all other indirect emissions in the value chain.

Shareholders can choose to receive company documents electronically rather than by post, which reduces printing and the associated emissions. More than 70% of registered shareholders have already made this choice.

Disclaimer: Kerrowan Marine Systems plc, its products, people, sites and figures are entirely fictional. This document was created as a test document for evaluating retrieval-augmented generation systems, and any resemblance to real companies or people is coincidental.